Registration number: 01767386

Howden Joinery Corporate Services Limited

Annual Report and Financial Statements

for the Period from 29 December 2019 to 26 December 2020

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Howden Joinery Corporate Services Limited

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Howden Joinery Corporate Services Limited

Company Information

Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 1 New Street Square London United Kingdom EC4A 3HQ

Howden Joinery Corporate Services Limited

Strategic Report for the Period from 29 December 2019 to 26 December 2020

The directors present their strategic report for the period from 29 December 2019 to 26 December 2020.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 12 - 37)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 38 - 47)
- Financial and non-financial KPIs (pgs 30 - 32)
- Future developments (pgs 11, 28 - 29, 36)
- Information about environmental matters, social, community and human rights issues (pgs 48-62)
- Description of culture, purpose, market, business model and strategy (pgs 12-21)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 97 - 101, 135)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Howden Joinery Corporate Services Limited

Strategic Report for the Period from 29 December 2019 to 26 December 2020

Section 172 statement

Section 172 of the Companies Act 2006 requires a director of a company to act in the way he or she considers, in good faith, would most likely promote the success of the company for the benefit of its members as a whole. In doing this section 172 requires a director to have regard, amongst other matters, to the:

- likely consequences of any decisions in the long-term;
- interests of the company's employees;
- need to foster the company's business relationships with suppliers, customers and others;
- impact of the company's operations on the community and environment;
- desirability of the company maintaining a reputation for high standards of business conduct, and
- need to act fairly as between members of the company.

In discharging their section 172 duties the directors of the Company have regard to the factors set out above. They also have regard to other factors which they consider relevant to the decision being made. The directors acknowledge that every decision they make will not necessarily result in a positive outcome for all of the Company's stakeholders. By considering the Company's purpose, vision and values together with its strategic priorities and having a process in place for decision-making, the directors do, however, aim to make sure that their decisions are consistent and predictable.

As is normal for large companies, the directors delegate authority for day-to-day management of the Company to executives engaged in setting, approving and overseeing execution of the business strategy and related policies of the Group. How the Group's key stakeholders have been identified and interests taken into consideration, in accordance with the directors' section 172 duties of the Companies Act 2006 and the 2018 UK Corporate Governance Code, is noted in detail on pages 78 and 79 within Howden Joinery Group Plc's Annual Report and Accounts for the year ended 26 December 2020 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). As the Company forms part of the Group, the framework adopted by the ultimate parent has been disseminated and applied by the subsidiary Company.

Approved by the Board on 21 September 2021 and signed on its behalf by:

F. McNaughton

Forbes McNaughton
Company secretary

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 29 December 2019 to 26 December 2020

The directors present their annual report and the audited financial statements for the period from 29 December 2019 to 26 December 2020.

Directors
The directors who held office during the period, were as follows:
Theresa Keating
Gareth Hopkins (resigned 24 April 2020)
Mark Robson (resigned 26 December 2020)
The following directors were appointed after the period end:
Paul Hayes (appointed 27 December 2020)
Kirsty Homer (appointed 27 December 2020)

Dividends
No dividend was proposed or paid during the current or prior period.

Adoption of IFRS 16

The Company adopted IFRS 16 for the first time in the current year. The effects of adoption are described in note 2 to the financial statements, together with our revised accounting policies and the relevant transition disclosures. Information on the depreciation of lease right-of-use assets is given in the operating profit note. Interest on lease liabilities is given in the interest payable note. Right-of-use assets and current and non-current lease liabilities are shown on the balance sheet, together with cross-references to their respective financial statement notes which give additional detail.

Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 36-37 of the Howden Joinery Group Plc 2020 Annual Report and accounts, which is available at
https://www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports

Political donations
The Company did not make any political donations in the current or prior period.

Charitable donations
During the period the company made charitable donations of £17,402. The individual donations are shown below:

	£
Itchen Kitchen-The Parochial Church Council of The Ecclesiastical Parish of Christ Church Winchester	11,347
Neonatal unit at Wirral Women and Children's hospital	2,700
Other charitable donations under £2k	3,355

Howden Joinery Corporate Services Limited

Directors' Report for the Period from 29 December 2019 to 26 December 2020

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future.

This judgement is based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc. In assessing the quality of the commitment of support from its ultimate parent company, the directors noted the parent company's assessment of the Howden Joinery Group's going concern in its 2021 Consolidated Half-Yearly Report, dated 22 July 2021, which includes a description of how the parent company has considered and modelled possible effects of COVID 19 and Brexit on consolidated Group trading, and has concluded that it was appropriate for the consolidated Group results to be prepared on a going concern basis.

The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Principal activity
The principal activity of the company is providing and managing employees, professional fees and IT services for other Group companies. There has been no change in the Company's principal activities during the period.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Engagement with suppliers, customers and other relationships
The Company has limited direct dealings with external business partners as these activities are undertaken at Group level. Details of the Howden Joinery Group's business relationships at Group level are set out on pages 82 to 87 of the Annual Report and Accounts for Howden Joinery Group Plc for the year ended 26 December 2020 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports).

Approved by the Board on 21 September 2021 and signed on its behalf by:

F. McNaughton
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Forbes McNaughton
Company secretary

Howden Joinery Corporate Services Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Howden Joinery Corporate Services Limited (the 'company'):

- give a true and fair view of the state of the company's affairs as at 26 December 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements which comprise:

- the profit and loss account;
- the statement of comprehensive income;
- the balance sheet;
- the statement of changes in equity; and
- the related notes 1 to 23.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework" (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council's (the 'FRC's') Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Other information
The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of directors
As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Extent to which the audit was considered capable of detecting irregularities, including fraud
Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

We considered the nature of the company's industry and its control environment, and reviewed the company's documentation of their policies and procedures relating to fraud and compliance with laws and regulations. We also enquired of management and internal auditabout their own identification and assessment of the risks of irregularities.

We obtained an understanding of the legal and regulatory frameworks that the company operates in, and identified the key laws and regulations that:

- had a direct effect on the determination of material amounts and disclosures in the financial statements. These included UK Companies Act, pensions legislation and tax legislation ; and
- do not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty.

We discussed among the audit engagement team including relevant internal specialists such as tax, pensions, and IT specialists regarding the opportunities and incentives that may exist within the organisation for fraud and how and where fraud might occur in the financial statements.

In common with all audits under ISAs (UK), we are also required to perform specific procedures to respond to the risk of management override. In addressing the risk of fraud through management override of controls, we tested the appropriateness of journal entries and other adjustments; assessed whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluated the business rationale of any significant transactions that are unusual or outside the normal course of business.

In addition to the above, our procedures to respond to the risks identified included the following:

- reviewing financial statement disclosures by testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- enquiring of managementinternal audit and in-house legal counsel concerning actual and potential litigation and claims, and instances of non-compliance with laws and regulations; and
- reading minutes of meetings of those charged with governance.

Independent auditor's report to the members of Howden Joinery Corporate Services Limited

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the strategic report or the directors' report.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Claire Faulkner (Senior statutory auditor)
For and on behalf of Deloitte LLP
Statutory Auditor
London, United Kingdom
21 September 2021

Howden Joinery Corporate Services Limited

Profit and Loss Account for the Period from 29 December 2019 to 26 December 2020

	Note	52 weeks to 26 December 2020 £ 000	52 weeks to 28 December 2019 £ 000
Turnover	4	39,562	43,342
Administrative expenses		(60,648)	(61,209)
Operating loss	5	(21,086)	(17,867)
Interest payable and similar expenses	6	(708)	(400)
Loss before tax		(21,794)	(18,267)
Tax on loss	10	4,552	3,494
Loss for the period		(17,242)	(14,773)

The above results were derived from continuing operations.

The notes on pages 16 to 41 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Comprehensive Income for the Period from 29 December 2019 to 26 December 2020

	Note	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Loss for the period		(17,242)	(14,773)
Items that will not be reclassified subsequently to profit or loss			
Actuarial gain/(loss) on pension scheme, and associated deferred tax	17, 10	(9,207)	(39,776)
Total comprehensive income for the period		(26,449)	(54,549)

The notes on pages 16 to 41 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

(Registration number: 01767386)
Balance Sheet as at 26 December 2020

	Note	26 December 2020 £ 000	28 December 2019 £ 000
Fixed assets			
Intangible assets	12	3,343	4,242
Tangible assets	11	6,589	4,532
Right of use assets	20	4,126	-
Investments	13	74,393	73,568
		88,451	82,342
Current assets			
Debtors	14	930,874	719,215
Cash at bank and in hand	15	129	(1,165)
Deferred tax asset	10	10,709	10,921
		941,712	728,971
Creditors: Amounts falling due within one year			
Trade and other payables	19	(1,202,673)	(952,664)
Current portion of long term lease liabilities	21	(1,759)	-
Net current liabilities		(262,720)	(223,693)
Total assets less current liabilities		(174,269)	(141,351)
Creditors: Amounts falling due after more than one year			
Long term lease liabilities	21	(3,065)	-
Defined benefit pension liability	17	(47,671)	(56,618)
Net liabilities		(225,005)	(197,969)
Capital and reserves			
Called up share capital	16	12,358	12,358
Capital contribution reserve		280,315	280,315
Share-based payments reserve		30,757	30,773
Profit and loss account		(548,435)	(521,415)
Shareholders' deficit		(225,005)	(197,969)

Approved by the Board on 21 September 2021 and signed on its behalf by:

Theresa Keating
Director

The notes on pages 16 to 41 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Changes in Equity for the Period from 29 December 2019 to 26 December 2020

	Called up share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
Brought forward	12,358	280,315	30,773	(521,415)	(197,969)
Change in accounting policy adoption of IFRS16	-	-	-	(512)	(512)
At 29 December 2019	12,358	280,315	30,773	(521,927)	(198,481)
Loss for the period	-	-	-	(17,242)	(17,242)
Other comprehensive income	-	-	-	(9,207)	(9,207)
Total comprehensive income	-	-	-	(26,449)	(26,449)
Current tax on share schemes	-	-	-	39	39
Deferred tax on share schemes	-	-	-	(98)	(98)
Share based payment transactions	-	-	(16)	-	(16)
At 26 December 2020	12,358	280,315	30,757	(548,435)	(225,005)

The notes on pages 16 to 41 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Statement of Changes in Equity for the Period from 29 December 2019 to 26 December 2020

	Share capital £ 000	Capital contribution reserve £ 000	Share-based payments reserve £ 000	Retained earnings £ 000	Total £ 000
At 30 December 2018	12,358	280,315	30,034	(467,006)	(144,299)
Loss for the period	-	-	-	(14,773)	(14,773)
Other comprehensive income	-	-	-	(39,776)	(39,776)
Total comprehensive income	-	-	-	(54,549)	(54,549)
Current tax on share schemes	-	-	-	46	46
Deferred tax on share schemes	-	-	-	94	94
Share based payment transactions	-	-	739	-	739
At 28 December 2019	12,358	280,315	30,773	(521,415)	(197,969)

The notes on pages 16 to 41 form an integral part of these financial statements.

Howden Joinery Corporate Services Limited

Notes to the Financial Statements for the Period from 29 December 2019 to 26 December 2020

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.
The address of its registered office is:
40 Portman Square
London
W1H 6LT
England
These financial statements were authorised for issue by the Board on 21 September 2021.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, fair value measurement, financial instruments, revenue, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis. No material uncertainties were identified. Further information about the process and basis of the going concern assessment can be found in the "Going concern" section of the Directors' Report, which details how the assessment of going concern relates to continued support from the ultimate parent company and how the Directors have assessed the quality of the commitment of that support.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 29 December 2019 have had a material effect on the financial statements other than IFRS 16 whose effects are described below.

2 Accounting policies (continued)

Changes resulting from adoption of IFRS 16

IFRS 16 Leases became mandatorily effective on 1 January 2019. The company has applied this for the first time in this accounting period which resulted in changes to the accounting policies. The company recognised lease liabilities in relation to leases that were classified as 'operating leases" under the principles of IAS 17 - Leases. On transition, an additional £4.7m (2019 - £Nil) of right-to-use assets and £5.6m (2019 - £Nil) of lease liabilities were recognised with the difference allocated to retained earnings.
Together with £0.2m of accruals derecognised on adoption of IFRS 16 and £0.2m deferred tax asset recognised on adoption of IFRS 16, the figure above makes up the total of £0.5m shown as an adjustment to opening reserves in the Statement of Changes in Equity.

	Note	As originally reported 28 December 2019 £ 000
Operating lease commitments at 28 December 2019		6,057
Operating lease commitments discounted at the incremental borrowing rate		5,585
Lease liabilities recognised at 29 December 2019		5,585

These liabilities were measured at the present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate as of 29 December 2019. The weighted average rate applied was 1.45%.

Revenue recognition

Recognition

The company earns revenue from the provision of services relating to providing employees, professional services and IT services for other Group companies. This revenue is recognised in the accounting period when the services are rendered at an amount that reflects the consideration to which the entity expects to be entitled in exchange for fulfilling its performance obligations to customers.
The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Foreign currency transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

2 Accounting policies (continued)

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets

Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation

Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	4 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	10 years

Intangible assets

Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use. These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

Trade payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

2 Accounting policies (continued)

Amounts payable and receivable to and from fellow Group subsidiaries

Howden Joinery Group plc has ultimate control of 100% of both this Company and a number of other wholly-owned subsidiaries (together, called "the Howden Joinery Group"). Debtors and creditors between this Company, Howden Joinery Group plc and any other Howden Joinery Group company do not bear interest and are repayable on demand.

Share based payments

The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

Investments

Investments represent shares in the ultimate parent company, Howden Joinery Group Plc, which are held by employee share ownership trusts. The investments are initially recorded at cost, including purchase expenses.

Share capital

Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

Financial instruments

Initial recognition

Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

2 Accounting policies (continued)

Defined benefit pension obligation
Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date minus the fair value of plan assets. The defined benefit obligation is measured using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future payments by reference to market yields at the reporting date on high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses are charged or credited to other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in profit or loss.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

Actuarial assumptions
The Company operates a defined benefit scheme for its employees. There is significant judgement involved in selecting appropriate measurement bases for the actuarial assumptions used to measure the pension deficit. There is also estimation uncertainty which means that reasonable alternative assumptions could have led to measurement at a materially different amount, or that a reasonably possible change in an assumption during the next period could lead to a material change in the valuation.

The key assumptions within this calculation are discount rate, inflation rates and mortality rates. These are set out in the pensions note, together with sensitivity analysis that shows the effect that these estimates can have on the carrying value of the pension deficit.

4 Turnover

The analysis of the Company's revenue for the period from continuing operations is as follows:

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Management services recharged to other Group companies	39,562	43,342

5 Operating loss

Arrived at after charging/(crediting)

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Depreciation expense - PPE	1,770	1,901
Amortisation expense	1,244	2,944
Foreign exchange losses	-	(4)
Loss on disposal of property, plant and equipment	-	1
Depreciation on right of use assets - Machinery & Vehicles	306	-
Depreciation on right of use assets - Property	959	-

6 Interest payable and similar expenses

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Interest on bank overdrafts and borrowings	33	-
Pensions finance charge	600	400
Interest expense on leases	75	-
	708	400

7 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	52 weeks to 26 December 2020 £ 000	52 weeks to 28 December 2019 £ 000
Wages and salaries	10,464	11,322
Social security costs	1,317	1,812
Pension costs, defined contribution scheme	108	171
Pension costs, defined benefit scheme	23,797	19,999
Share-based payment expenses	(16)	739
	35,670	34,043

The defined benefit scheme charge in both periods relates to the cost of providing defined benefit pensions to the whole Howden Joinery Group, for the reasons explained at Note 17.

7 Staff costs (continued)

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	29 December 2019 to 26 December 2020 No.	30 December 2018 to 28 December 2019 No.
Administration and support	47	64

8 Directors' remuneration

The directors' remuneration for the period was as follows:

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Remuneration	3,602	3,583
Defined benefit pension	26	25
	3,628	3,608

During the period the number of directors who were receiving benefits and share incentives was as follows:

	52 weeks to 26 December 2020 No.	52 weeks to 28 December 2019 No.
Received or were entitled to receive shares under long term incentive schemes	4	4
Exercised share options	2	1
Accruing benefits under defined benefit pension scheme	2	2
Accruing benefits under money purchase pension scheme	1	1

In respect of the highest paid director:

	52 weeks to 26 December 2020 £ 000	52 weeks to 28 December 2019 £ 000
Remuneration	1,501	1,654

During the period the highest paid director received or was entitled to receive shares under a long term incentive scheme.

9 Auditor's remuneration

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Audit of the financial statements	45	40

10 Income tax

Tax charged/(credited) in the income statement

	29 December 2019 to 26 December 2020 £ 000	30 December 2018 to 28 December 2019 £ 000
Current taxation		
UK corporation tax	(8,216)	(7,709)
UK corporation tax adjustment to prior periods	(120)	(592)
	(8,336)	(8,301)
Deferred taxation		
Arising from origination and reversal of temporary differences	4,085	4,803
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	(301)	4
Total deferred taxation	3,784	4,807
Tax receipt in the income statement	(4,552)	(3,494)

10 Income tax (continued)

The tax on profit before tax for the period is lower than the standard rate of corporation tax in the UK (2019 - higher than the standard rate of corporation tax in the UK) of 19% (2019 - 19%).

The differences are reconciled below:

	52 weeks to 26 December 2020 £ 000	52 weeks to 28 December 2019 £ 000
Loss before tax	(21,794)	(18,267)
Corporation tax at standard rate	(4,141)	(3,471)
Increase (decrease) in tax from adjustment for prior periods	(420)	(589)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	112	613
Increase (decrease) from effect of exercise employee share options	1	(47)
Deferred tax expense (credit) relating to changes in tax rates or laws	(105)	-
Total tax credit	(4,553)	(3,494)

10 Income tax (continued)

Deferred tax

Deferred tax movement during the period:

	At 29 December 2019 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 26 December 2020 £ 000
Pension benefit obligations	9,625	(4,055)	3,493	-	9,063
Provisions	-	-	-	-	-
Accelerated tax depreciation	1,049	448	-	-	1,497
Share-based payment	247	(139)	-	(98)	11
Leases	-	(36)	-	175	139
Net tax assets/(liabilities)	10,921	(3,783)	3,493	78	10,709

The deferred tax of £0.2m, shown above as being recognised in equity, forms part of the adjustment to opening reserves on adoption of IFRS 16, as shown in the Statement of Changes in Equity.

Deferred tax movement during the prior period:

	At 30 December 2018 £ 000	Recognised in income £ 000	Recognised in other comprehensive income £ 000	Recognised in equity £ 000	At 28 December 2019 £ 000
Pension benefit obligations	6,848	(4,502)	7,278	-	9,625
Provisions	200	(200)	-	-	-
Accelerated tax depreciation	1,157	(109)	-	-	1,049
Share-based payment	150	3	-	94	247
Leases	-	-	-	-	-
Net tax assets/(liabilities)	8,356	(4,807)	7,278	94	10,921

The Finance Act 2016 reduced the corporation tax rate to 17% with effect from 1 April 2020 and so this rate was used in the December 2019 deferred tax calculations. In the Budget of 11 March 2020, the Chancellor of the Exchequer announced that the planned rate reduction to 17% would no longer be taking effect. The changes announced during the Budget of 11 March 2020 were substantively enacted as at the 2020 balance sheet date, therefore, all opening deferred taxation balances have been remeasured at 19% with an adjustment recognised in the 2020 total tax charge.

11 Property, plant and equipment

	Land and buildings £ 000	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 30 December 2018	4,159	591	1,095	38,542	44,387
Additions	20	4	-	587	611
Disposals	(164)	(52)	(77)	(1,255)	(1,548)
Transfers	-	-	(1,018)	1,018	-
At 28 December 2019	4,015	543	-	38,892	43,450
Additions	17	4	3,333	476	3,830
Disposals	(8)	(8)	-	(1,113)	(1,129)
At 26 December 2020	4,024	539	3,333	38,255	46,151
Depreciation					
At 30 December 2018	3,038	486	-	34,741	38,265
Charge for period	217	35	-	1,649	1,901
Eliminated on disposal	(59)	(25)	-	(1,164)	(1,248)
At 28 December 2019	3,196	496	-	35,226	38,918
Charge for the period	205	24	-	1,541	1,770
Eliminated on disposal	(5)	(8)	-	(1,113)	(1,126)
At 26 December 2020	3,396	512	-	35,654	39,562

11 Property, plant and equipment (continued)

	Land and buildings £ 000	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Carrying amount					
At 26 December 2020	628	27	3,333	2,601	6,589
At 28 December 2019	819	47	-	3,666	4,532

12 Intangible assets

	Asset under construction £ 000	Other intangible assets £ 000	Total £ 000
Cost or valuation			
At 29 December 2019	296	13,587	13,883
Additions	29	316	345
Disposals	-	(1,114)	(1,114)
At 26 December 2020	325	12,789	13,114
Amortisation			
At 29 December 2019	-	9,641	9,641
Amortisation charge	-	1,244	1,244
Amortisation eliminated on disposals	-	(1,114)	(1,114)
At 26 December 2020	-	9,771	9,771
Carrying amount			
At 26 December 2020	325	3,018	3,343
At 28 December 2019	296	3,946	4,242

13 Investments

	26 December 2020 £ 000	28 December 2019 £ 000
Investment in shares of ultimate parent company	74,393	73,568

13 Investments (continued)

	26 December 2020 £ 000	28 December 2019 £ 000
Cost		
At 29 December	73,568	71,176
Additions	1,172	3,524
Disposals	(347)	(1,132)
At 26 December	74,393	73,568
Carrying amount		
At 26 December	74,393	73,568

The investment is in the listed ordinary shares of the Company's ultimate parent, Howden Joinery Group Plc. The shares are held in employee share ownership trusts.

14 Trade and other debtors

	26 December 2020 £ 000	28 December 2019 £ 000
Trade debtors	-	10
Debts from fellow Group subsidiaries	920,350	712,570
Prepayments	8,436	5,899
Other debtors	2,088	736
	930,874	719,215

15 Cash at bank and in hand

	26 December 2020 £ 000	28 December 2019 £ 000
Cash at bank	129	(1,165)

16 Share capital

Allotted, called up and fully paid shares

	26 December 2020		28 December 2019	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	12,358	12,358	12,358	12,358

17 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £108,248 (2019 - £171,030).

Defined benefit pension schemes
Howden Joinery Group Defined Benefit Plan

Plans that share risks between entities under common control
Characteristics and risks of the plan:
The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.
There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries and this Company is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in this Company's accounts.
The Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013. In November 2020, the Company entered into a consultation process with affected employees and collective bargaining groups regarding the potential closure of the defined benefit Howden Joinery Pension Plan to future accrual. The outcome of the consultation was that the Plan would be closed to future accrual from 31 March 2021.

The assets of the plan are held separately from those of the Group, being held in a trustee-administered pension plan and invested with independent fund managers. The trustee directors of the plan comprise three member-elected trustees, two independent trustees, and three Group-appointed trustees. All trustees are required to act in the best interests of the plan beneficiaries.

The plan exposes the Group to actuarial risks, such as longevity risk, interest rate risk, inflation risk and market (investment) risk.

17 Pension and other schemes (continued)

The Group has an agreement with the pension plan trustees to make additional deficit contributions to the plan, over and above the normal level of contributions, of £30m per year until June 2023. The Group's estimated total cash contributions to the defined benefit plan in the 52 weeks ending 25 December 2021 are £36m.

Contributions payable to the pension scheme at the end of the period are £Nil (2019 - £Nil).

Accounting and actuarial valuation

Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2017 by the plan actuary. The April 2020 actuarial valuation has begun, but has not been finalised at the date of approving these financial statements. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2017 valuation to 26 December 2020. This roll-forward exercise involves updating all the assumptions which are market-based (i.e. inflation, discount rate, rate of increase in pensions and rate of CARE revaluation) to values as at 26 December 2020. We are using CMI 2019 mortality tables, being the most recent tables available.

Reconciliation of scheme assets and liabilities to assets and liabilities recognised

The amounts recognised in the statement of financial position are as follows:

	26 December 2020 £ m	**28 December 2019 £ m**
Fair value of scheme assets	1,593	1,429
Present value of scheme liabilities	(1,641)	(1,485)
Defined benefit pension scheme deficit	(48)	(56)

17 Pension and other schemes (continued)

Scheme assets
Changes in the fair value of scheme assets are as follows:

	26 December 2020 £ m	28 December 2019 £ m
Fair value at start of period	1,429	1,246
Interest income	28	35
Return on plan assets, excluding amounts included in interest income/(expense)	132	150
Employer contributions	46	47
Benefits paid	(42)	(49)
Fair value at end of period	1,593	1,429

Analysis of assets
The major categories of scheme assets are as follows:

	26 December 2020 £m	28 December 2019 £m
Cash and cash equivalents	39	53
Equity instruments	144	143
Debt instruments	661	676
Investment funds	749	557
	1,593	1,429

Equity instruments
Equity instruments can be further categorised as follows:

	26 December 2020 £m	28 December 2019 £m
Quoted		
Passive equities	141	139
Unquoted		
Private equity	3	4
	144	143

17 Pension and other schemes (continued)

Debt instruments
Debt instruments can be further categorised as follows:

	26 December 2020 £m	28 December 2019 £m
Quoted		
Corporate bonds	238	170
Government bonds	423	506
	661	676

Investment funds
Investment funds can be further categorised as follows:

	26 December 2020 £m	28 December 2019 £m
Quoted		
Commercial property fund	103	37
Absolute return fund	85	81
Asset-backed securities	105	126
	293	244
Unquoted		
Commercial property fund	118	66
Fund of hedge funds	138	94
Insurance-linked securities	72	64
Other Secure Income	129	89
	457	313
	750	557

The following text explaining the plan trustees' asset allocation strategy is taken from the plan's 2020 Annual Report and Accounts, published in September 2020:

"The investment strategy currently in place has a 60% allocation to "return-seeking" assets and a 40% allocation to "risk-reducing" assets.

"Return-seeking" assets are generally higher risk instruments that over the longer term would be expected to produce a return in excess of the Plan's liabilities. The Trustee has made the decision that the Plan's allocation to "return-seeking" assets be split between quoted equities, secure income assets and absolute return funds at 31 March 2020.

"Risk-reducing" assets are generally considered as lower risk and would typically be expected to move in a broadly similar fashion to the Plan's liabilities, due to changes in both interest rates and inflation. Within the "risk-reducing" portfolio, the Trustee has made the decision to invest in fixed and inflation linked government bonds as well as corporate bonds."

17 Pension and other schemes (continued)

Actual return on scheme's assets

	26 December 2020 £m	28 December 2019 £m
Actual return on scheme assets	161	185

The pension scheme has not invested in any of the company's own financial instruments or in properties or other assets used by the company.

17 Pension and other schemes (continued)

Scheme liabilities

Changes in the present value of scheme liabilities are as follows:

	26 December 2020 £m	28 December 2019 £m
Present value at start of period	1,485	1,282
Current service cost	21	17
Administration Cost	3	3
Actuarial gains and losses arising from changes in financial assumptions	166	204
Actuarial gains and losses arising from experience adjustments	(20)	(7)
Interest cost	28	36
Benefits paid	(42)	(49)
Present value at end of period	1,641	1,486

Principal actuarial assumptions

The significant actuarial assumptions used to determine the present value of the defined benefit obligation at the statement of financial position date are as follows:

	26 December 2020 %	28 December 2019 %
Discount rate	1.30	1.95
Future salary increases	3.95	4.20
Future pension increases - from 2.25% to 3.35%	3.35	3.35
Inflation - RPI	2.95	3.20

Post retirement mortality assumptions

	26 December 2020 Years	28 December 2019 Years
Current UK pensioners at retirement age - male	22	22
Current UK pensioners at retirement age - female	23	23
Future UK pensioners at retirement age - male	23	23
Future UK pensioners at retirement age - female	26	25

17 Pension and other schemes (continued)

Amounts recognised in the income statement

	26 December 2020 £m	28 December 2019 £m
Amounts recognised in operating profit		
Current service cost	(21)	(17)
Administrative expenses paid	(3)	(3)
Recognised in arriving at operating profit	(24)	(20)
Amounts recognised in finance income or costs		
Net interest	(1)	-
Total recognised in the income statement	(25)	(20)

Amounts taken to the Statement of Comprehensive Income

	26 December 2020 £m	28 December 2019 £m
Actuarial gains and losses arising from changes in financial assumptions	(146)	(197)
Return on plan assets, excluding amounts included in interest income/(expense)	133	150
Amounts recognised in the Statement of Comprehensive Income	(13)	(47)

17 Pension and other schemes (continued)

Sensitivity analysis

A sensitivity analysis for the principal assumptions used to measure scheme liabilities is set out below:

		26 December 2020			28 December 2019	
Adjustment to discount rate	**+ 0.5% £ 000**	**0.0% £ 000**	**- 0.5% £ 000**	**+ 0.25 £ 000**	**0.0% £ 000**	**- 0.25 £ 000**
Present value of total obligation	(1,455)	(1,641)	(1,827)	(1,395)	(1,485)	(1,575)

		26 December 2020			28 December 2019	
Adjustment to rate of inflation	**+ 0.5% £ 000**	**0.0% £ 000**	**- 0.5% £ 000**	**+ 0.1% £ 000**	**0.0% £ 000**	**- 0.1% £ 000**
Present value of total obligation	(1,551)	(1,641)	(1,731)	(1,449)	(1,485)	(1,521)

		26 December 2020			28 December 2019	
Adjustment to mortality age rating assumption	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**	**+ 1 Year £ 000**	**None £ 000**	**- 1 Year £ 000**
Present value of total obligation	(1,584)	(1,641)	(1,698)	(1,433)	(1,485)	(1,537)

The weighted average duration of the defined benefit obligation at both the current and prior period ends was 21 years.

18 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

Share Incentive Scheme ("Freeshares")

Scheme description

This is a UK tax-advantaged 'all-employee' Share plan Incentive Plan where eligible UK employees receive an award of free shares in the Company. If participants are still employed by a UK Howdens group company on the third anniversary of the date the shares were granted, the shares will vest. There are no other performance conditions attached to these awards. Dividends are payable on the free shares during the vesting period.

18 Share-based payments (continued)

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of awards including options, conditional awards, and restricted share awards. With the exception of (iv) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:

(i) Conditional Share Awards, the vesting period for which is three years commencing on the date of grant and subject to continued employment. The shares are not subject to any other performance conditions.

(ii) Market value options, the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total life of ten years). The vesting conditions for these options were as follows:
Date of award (a) 2011 (b) 2012 (c) 2013 (d) 2014
Vesting based on growth in profits - from year ended December (a) 2010 (b) 2011 (c) 2012 (d) 2013
for the three-year period ending with the year ended December (a) 2013 (b) 2014 (c) 2015 (d) 2016
Award vests at 15% if profits over the vesting period grow by (a) 6% (b) 6% (c) 6% (d) 8%
Award vests at 100% if profits over the vesting period grow by (a) 12% (b) 12% (c) 12% (d) 20%

(iii) Market value options, the vesting period for which was three years commencing from the date of grant with an exercise period of seven years (i.e. a total life of ten years). The vesting conditions for these options were as follows:
Date of award (a) 2017 (b) 2018 (c) 2019
Vesting based on growth in profits - from year ended December (a) 2016 (b) 2017 (c) 2018
for the three-year period ending with the year ended December (a) 2019 (b) 2020 (c) 2021
Award vests at 15% if profits over the vesting period grow by (a) 3% (b) 5% (c) 5%
Award vests at 100% if profits over the vesting period grow by (a) 15% (b) 15% (c) 15%

The 2020 award has a performance period from December 2019 to December 2022. 67% of the award is based on TSR, vesting at 15% if the Company performs at median compared to a peer group and 100% if it performs in the upper quartile. 33% of the award is based on growth in profit before tax, and vests at 15% if growth over the performance period is 5%, and vests at 100% if growth is 15%.

(iv) Restricted share awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

18 Share-based payments (continued)

Recruitment Plan

Scheme description

This is a discretionary plan under which the Group may grant employees conditional rights to acquire shares subject to conditions as determined by the Group. The awards granted under this plan may only be satisfied with existing shares.

19 Trade and other payables

	26 December 2020 £ 000	28 December 2019 £ 000
Trade payables	8,708	487
Accrued expenses	10,418	10,950
Amounts due to fellow Group companies	1,182,703	940,363
Social security and other taxes	842	864
Other payables	2	-
	1,202,673	952,664

20 Right of use assets

	Machinery & Vehicles £ 000	Property £ 000	Total £ 000
Additions	678	51	729
Depreciation charge for the period	306	959	1,265
Carrying amount at 26 December 2020	651	3,475	4,126

21 Leases

Leases included in creditors

	26 December 2020 £ 000	28 December 2019 £ 000
Current portion of long term lease liabilities	1,759	-
Long term lease liabilities	3,065	-

Lease liabilities maturity analysis

A maturity analysis of lease liabilities based on undiscounted gross cash flow is reported in the table below:

	26 December 2020 £ 000	28 December 2019 £ 000
Less than one year	1,815	-
One to five years	3,128	-
Total lease liabilities (undiscounted)	4,943	-

Total cash outflows related to leases

Total cash outflows related to leases are presented in the table below:

Payment	26 December 2020 £ 000	28 December 2019 £ 000
Repayment of capital	1,471	-
Interest	74	-
Total cash outflow	1,545	-

22 Obligations under leases and hire purchase contracts

Operating leases

The total future value of minimum lease payments is as follows:

	28 December 2019 £ 000
Within one year	1,367
In two to five years	4,690
	6,057

The amount of non-cancellable operating lease payments recognised as an expense during the period was £Nil (2019 - £1,232,000)

23 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available on request from 40 Portman Square, London W1H 6LT, or http://howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp